AMD

This note frames the current earnings base for AMD with emphasis on profitability, capital structure, and cash-flow durability.

Revenue	Net Income
$34.6B	$4.33B
34.3%	164.2%

Operating Margin	Free Cash Flow
10.7%	$6.74B
44.7%	180.0%

At a glance

- Revenue is $34.6B with 34.3% change versus the prior period.
- Net income is $4.33B, indicating current earnings scale.
- Balance sheet reads at 0.05x debt-to-equity and 2.85x current ratio.

Executive Summary

AMD reports $34.6B revenue (34.3% YoY) and $4.3B net income (164.2% YoY) for 2025 12 27. Profitability remains anchored by operating margin 10.7% and net margin 12.5%. Balance sheet posture is conservative (0.05x debt to equity, 2.85x current ratio).

Current balance-sheet and cash profile: leverage at 0.05x, current ratio 2.85x, free cash flow $6.74B.

Profitability

- Operating margin is 10.7% (44.7% vs prior); this defines current earnings conversion on sales.
- Net margin is 12.5% (96.6% vs prior); this captures current bottom-line efficiency.

Balance Sheet & Liquidity

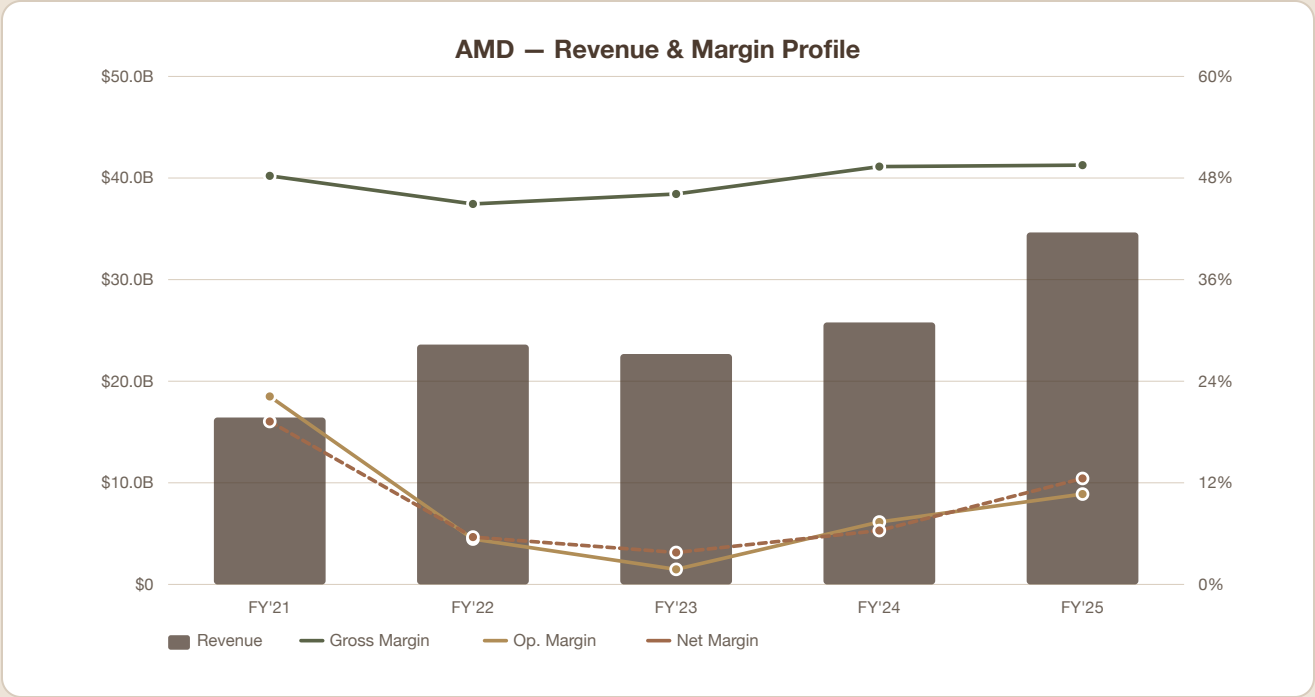
- Debt-to-equity is 0.05x (69.7% vs prior); this frames leverage sensitivity and refinancing exposure.
- Current ratio is 2.85x (8.9% vs prior); this measures near-term liquidity headroom.

Cash Flow & Risk

- Free cash flow is $6.74B (180.0% vs prior); this tests earnings quality and funding flexibility.
- Operating cash flow is $7.71B (153.5% vs prior); this shows internal cash generation capacity.

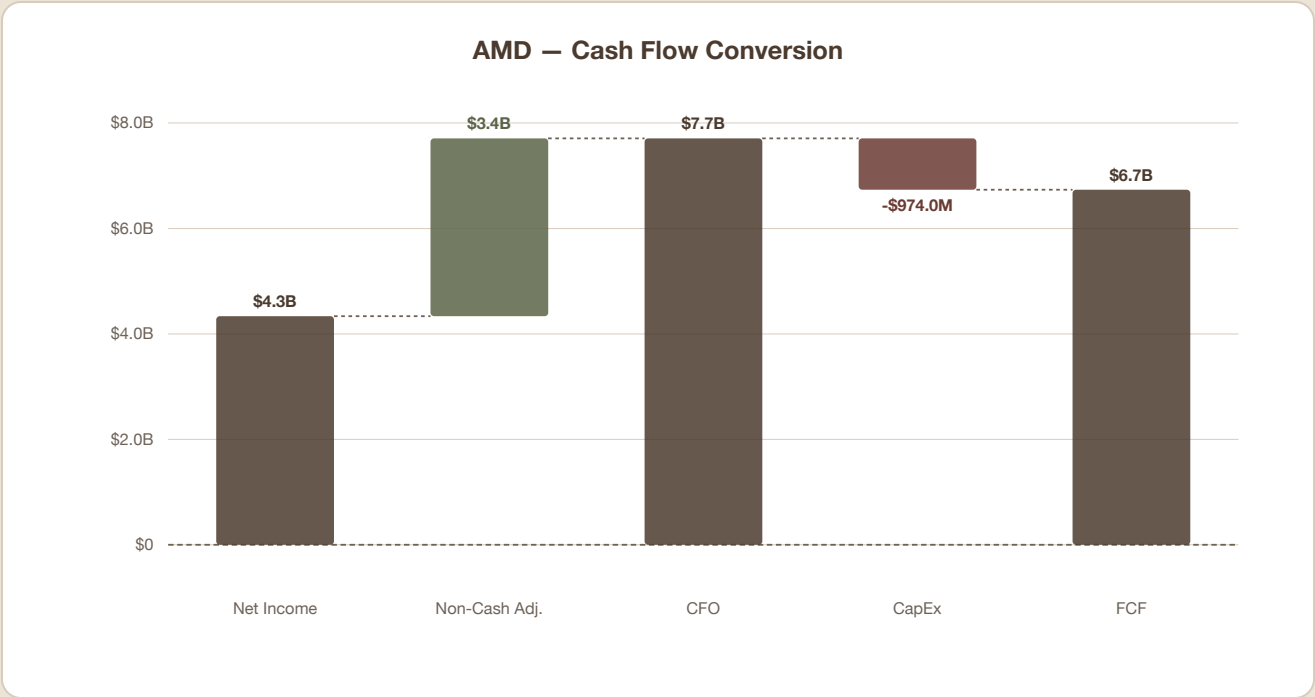
Revenue	Net Income	Operating Margin	Free Cash Flow
$34.6B	**$4.33B**	**10.7%**	**$6.74B**

Visual Highlights I



Revenue Growth & Margin Profile

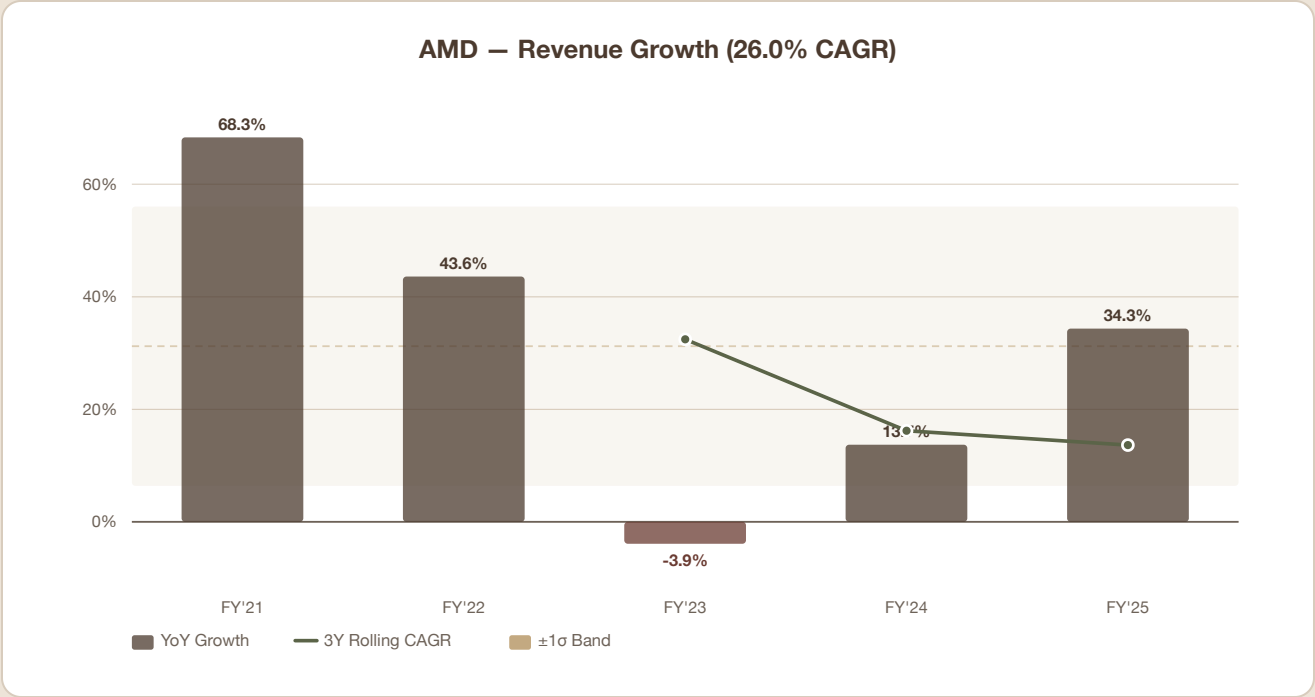
Revenue trend and margin structure across the most recent annual periods.



Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Visual Highlights II



Revenue Growth

Year-over-year growth path and stability over the latest annual periods.

Interpretation Snapshot

Key interpretation anchors from the same annual data used in the charts.

- Return on equity is 6.9%, indicating current capital productivity.
- Debt-to-equity stands at 0.05x, a direct read on leverage sensitivity.
- Current ratio is 2.85x, framing near-term liquidity coverage.
- Operating cash flow is $7.7B.

Key Metrics Dashboard

Profitability

Metric	Current Value	Prior Period	Change (%)
Operating Margin	10.7%	7.4%	44.7%
Net Margin	12.5%	6.4%	96.6%
Gross Margin	49.5%	49.4%	0.3%
Return on Equity	6.9%	2.9%	141.4%
Return on Assets	5.6%	2.4%	137.7%

Liquidity & Leverage

Metric	Current Value	Prior Period	Change (%)
Current Ratio	2.85x	2.62x	8.9%
Quick Ratio	2.01x	1.83x	10.0%
Debt-to-Equity	0.05x	0.03x	69.7%

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$34.6B	$25.8B	34.3%
Net Income	$4.33B	$1.64B	164.2%
Operating Income	$3.69B	$1.90B	94.4%
Total Assets	$76.9B	$69.2B	11.1%
Stockholders' Equity	$63.0B	$57.6B	9.4%

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	$7.71B	$3.04B	153.5%
Free Cash Flow	$6.74B	$2.40B	180.0%
Capital Expenditures	$0.97B	$0.64B	53.1%
Earnings Per Share (Diluted)	$2.65	$1.00	165.0%
Book Value Per Share	$38.51	$35.17	9.5%

Commentary

What stands out

- Revenue is $34.6B, with 34.3% growth versus the prior annual filing.
- Net income is $4.33B, with 164.2% change year over year.
- Operating margin is 10.7% and net margin is 12.5%, indicating current earnings conversion and bottom-line retention.

Watch items

- Monitor leverage and liquidity together: debt-to-equity is 0.05x and current ratio is 2.85x.
- Validate next-period durability before extrapolating the latest one-year growth and margin profile.

Analyst interpretation

- AMD currently combines scale and profitability, but the key decision point is whether margin and cash conversion stay consistent across the next filings.
- Balance-sheet posture is best read jointly: debt-to-equity at 0.05x and current ratio at 2.85x.
- Cash generation remains a central validation point, with free cash flow at $6.74B in the latest annual period.

Next Filing Checklist

- Confirm whether AMD can sustain revenue at $34.6B through the next filing cycle.
- Track free cash flow conversion versus earnings; current reference is $6.74B.
- Reassess leverage and liquidity together (0.05x debt-to-equity, 2.85x current ratio).

Appendix

Appendix A — AMD Income Statement

Metric	FY2025	FY2024	FY2023
Revenue	$34.6B	$25.8B	$22.7B
Cost of Revenue	$17.5B	$13.1B	$12.2B
Gross Profit	$17.2B	$12.7B	$10.5B
Operating Expenses	$13.5B	$10.8B	$10.1B
Operating Income	$3.69B	$1.90B	$0.40B
Net Income	$4.33B	$1.64B	$0.85B
EPS (Basic)	$2.67	$1.01	$0.53
EPS (Diluted)	$2.65	$1.00	$0.53
R&D Expenses	$8.09B	$6.46B	$5.87B
SG&A Expenses	$4.14B	$2.78B	$2.35B

Appendix (Cont.)

Appendix B — AMD Balance Sheet

Metric	FY2025	FY2024	FY2023
Shares Outstanding	1.64B	1.64B	1.63B
Total Assets	$76.9B	$69.2B	$67.9B
Stockholders' Equity	$63.0B	$57.6B	$55.9B
Current Assets	$26.9B	$19.0B	$16.8B
Current Liabilities	$9.46B	$7.28B	$6.69B
Cash & Equivalents	$5.54B	$3.79B	$3.93B
Total Debt	$3.25B	$1.75B	$2.50B
Long-Term Debt	$2.35B	$1.72B	$1.72B
Short-Term Debt	$0.87B	$0.00B	$0.75B
Inventory	$7.92B	$5.73B	$4.35B
Accounts Receivable	$6.32B	$6.19B	$5.38B
Goodwill	$25.1B	$24.8B	$24.3B

Appendix C — AMD Cash Flow Statement

Metric	FY2025	FY2024	FY2023
Operating Cash Flow	$7.71B	$3.04B	$1.67B
Capital Expenditures	$0.97B	$0.64B	$0.55B
Investing Cash Flow	-$5.53B	-$1.10B	-$1.42B
Financing Cash Flow	-$0.43B	-$2.06B	-$1.15B
Share Repurchases	$1.32B	$0.86B	$0.98B

Data Sources & Notes

Ticker	Form	Filed	Primary Document
AMD	10-K	2026-02-04	https://www.sec.gov/Archives/edgar/data/2488/000000248826000018/amd-20251227.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Comparisons reflect each issuer's latest annual filing period unless otherwise noted.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-05. Retrieval date: 2026-03-05.

Disclaimer: For research use only; not investment advice.